

PAGE 1 — DEFINE THE DECISION

Decision Exposure Instrument

Quantifies the cost of being wrong before the market enforces it.

DECISION UNDER REVIEW (ONE SENTENCE)

DECISION OWNER (NAME + ROLE)

SCOPE: TEAM / DEPARTMENT / ORGANISATION / MARKET

TIMEFRAME: WHEN MUST THIS BE RESOLVED?

CURRENT ESCALATION STATUS

REFERENCE BANDS — USE TO BOUND YOUR ESTIMATES

REVENUE BAND	HEADCOUNT	SECTOR PRESSURE	WEEKLY DELAY COST	MULTIPLIER
< £1M	< 20	Low	£500–£2,000/wk	×1.0
£1M–£10M	20–100	Moderate	£2,000–£10,000/wk	×1.5
£10M–£50M	100–500	High	£10,000–£50,000/wk	×2.0
£50M+	500+	Critical	£50,000+/wk	×3.0

YOUR SELECTED BAND (CIRCLE OR WRITE)

YOUR WEEKLY DELAY COST ESTIMATE (£)

PAGE 2 — QUANTIFY EXPOSURE DIMENSIONS

Exposure Inputs

Score each dimension 1–5. Reference: 1 = negligible, 2 = minor, 3 = moderate, 4 = severe, 5 = existential.

Revenue Dependency

How much revenue depends on this decision being correct?

1

2

3

4

5

Cost Sensitivity

If wrong, what is the cost impact? (direct + indirect)

1

2

3

4

5

Supply / Delivery Risk

How fragile is the delivery chain if this decision fails?

1

2

3

4

5

Reversibility

Can this decision be undone? (5 = fully irreversible)

1

2

3

4

5

Concentration Risk

Does failure create a single point of failure elsewhere?

1

2

3

4

5

SUM OF 5 SCORES (5–25) = RAW EXPOSURE SCORE

NUMBER OF DEPENDENCIES BLOCKED BY THIS DECISION

POLITICAL / REPUTATIONAL MULTIPLIER (0–5)

COMPOSITE FORMULA

Composite Exposure = (Raw Score × Dependency Count) + Political Multiplier

YOUR COMPOSITE EXPOSURE SCORE

PAGE 3 — WEIGHT: WORKED EXAMPLE + THRESHOLDS

Exposure Calculation

WORKED EXAMPLE

Decision: Delay hiring Head of Operations (vacancy 8 weeks)
Revenue Dependency: 4 | Cost Sensitivity: 3 | Supply Risk: 2 | Reversibility: 3 | Concentration: 4
Raw Score: 16 | Dependencies Blocked: 3 | Political Multiplier: 2
Composite: $(16 \times 3) + 2 = 50$
Weekly delay cost: £8,000 | Annual if unresolved: £416,000
Classification: EXPOSED | Implication: Material downside accumulating

PUBLISHED THRESHOLDS

CONTAINED Composite < 25
Exposure is bounded. Decision can proceed with standard oversight.

EXPOSED Composite 25–60
Material downside exists. Requires explicit ownership and deadline.

CRITICAL Composite > 60
Structural or financial exposure is severe. Escalation required.

YOUR PROBABILITY-WEIGHTED EXPOSURE

PROBABILITY OF ADVERSE OUTCOME (%)

ESTIMATED FINANCIAL IMPACT IF ADVERSE (£)

PROBABILITY-WEIGHTED EXPOSURE = PROBABILITY × IMPACT (£)

ESTIMATED ANNUAL EXPOSURE IF UNRESOLVED: WEEKLY COST × 52 (£)

PAGE 4 — CLASSIFY AND ACT

Decision Exposure Output

- ☐ CONTAINED — exposure bounded, proceed with oversight
- ☐ EXPOSED — material downside, requires ownership + deadline
- ☐ CRITICAL — severe exposure, escalation required immediately

ESTIMATED ANNUAL EXPOSURE (£)

CLASSIFICATION

DECISION IMPLICATION (ONE SENTENCE)

IMMEDIATE NEXT MOVE

ESCALATION NOTE (IF CRITICAL)

"Most decisions feel ambiguous until the cost is forced into view."

Feeds into Executive Reporting: Financial Exposure, Priority Stack, Escalation Logic.

SYSTEM TRANSITION

If this condition is confirmed, move to Executive Reporting (£95) to price consequence and formalise next action.

If intervention is already justified, move to Strategy Room (£395).

First use: Complete pages 1–2 (10 min). Use page 3 reference to calculate. Record output on page 4.